Interim results
2012/13

David Tyler

Chairman

John Rogers

Chief Financial Officer

Group performance
Highlights

Underlying results	H1 2012/13 £m	H1 2011/12 £m	Change %
Sales (inc VAT)	13,365	12,848	▲ 4.0
Sales (inc VAT, ex fuel)			▲ 4.1
Operating profit	412	396	▲ 4.0
Net finance costs	(59)	(57)	▼ (3.5)
Share of JV profits	20	15	▲ 33.3
Profit before tax	373	354	▲ 5.4
Tax rate	23.6%	26.6%	▲ 300 bps
Basic EPS [1]	15.2p	13.9p	▲ 9.4
Interim dividend per share	4.8p	4.5p	▲ 6.7
Statutory results			
Items excluded from underlying results	32	41	▼ (22.0)
Profit before tax	405	395	▲ 2.5

[1] Underlying basic earnings per share

Retailing
Continued sales outperformance

LFL sales growth [1]	Sales from net new space	Total sales growth [1]
▲	▲	▲
Up 1.7%	2.4%	4.1%

- LFL outperformance to market
- Contribution from extensions 0.8%[2]

2012/13 FY Guidance

- LFLs in H2 similar to those in H1
- Contribution from net new store space (excluding extensions and replacements) just above 2% for the FY

[1] Sales excluding fuel and including VAT
[2] Net of disruptions

Retailing
Good improvement in underlying profit

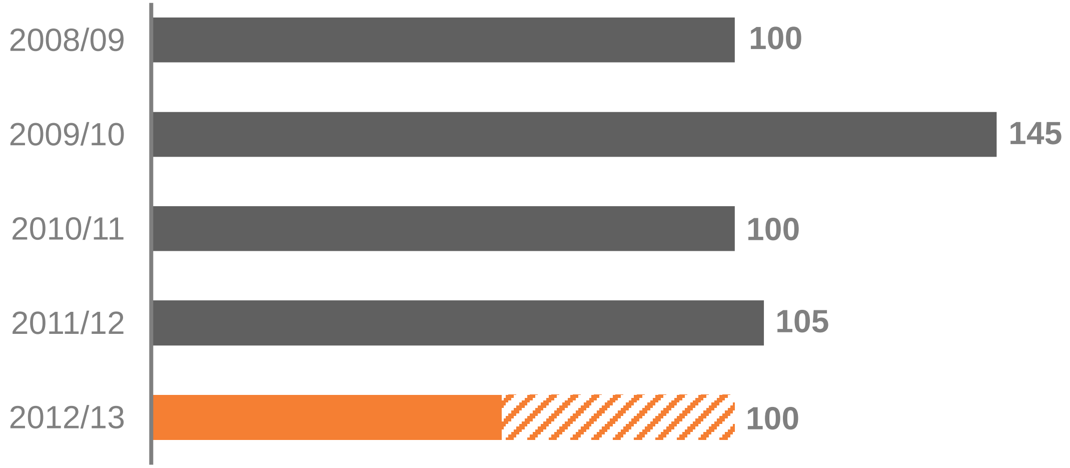
	H1 2012/13 £m	H1 2011/12 £m	Change %
Sales (inc VAT, inc fuel)	13,365	12,848	▲ 4.0
(ex VAT, inc fuel)	12,160	11,693	▲ 4.0
Underlying EBITDAR	930	896	▲ 3.8
Underlying EBITDAR margin %	7.65	7.66	▼ (1)bp
at constant fuel prices			▲ 1 bp
Underlying operating profit	412	396	▲ 4.0
Underlying operating margin %	3.39	3.39	-
at constant fuel prices			▲ 1 bp

Retailing

Cost inflation of just under 3% offset by around £60m of savings

- Operating cost savings of around £60m in H1

Annual operating cost savings (£m)



2012/13 FY Guidance

- Cost inflation towards the upper end of 2-3% range
- Savings of around £100m

Joint Ventures

Continued strong delivery

	H1 2012/13 £m	H1 2011/12 £m
Sainsbury's Bank	12	7
Property joint ventures	8	8

Sainsbury's Bank

- Lending and insurance new business volumes are up c.30%
- Bad debt levels have continued to reduce

Property joint ventures

- Profits similar to last year

2012/13 FY Guidance

- Sainsbury's Bank – to contribute a similar run rate of profit in H2 (FY 2011/12: £16m)
- Property JVs – expect a similar level of profit (FY 2011/12: £16m)

Underlying finance costs
Lower than guided

	H1 2012/13 £m	H1 2011/12 £m	Change %
Net interest cost	59	57	▼ (3.5)
Net interest cover	7.3x	7.2x	▲ 1.4
Fixed charge cover	3.0x	3.0x	-

- Capitalised interest £20m (2011/12: £19m)

2012/13 FY Guidance

- Underlying net finance costs expected to be around £0-5m higher than FY 2011/12

Items excluded from underlying results

	H1 2012/13 £m	H1 2011/12 £m	
Profit on disposal of properties	48	39	
Investment property fair value movements	(1)	3	c.5.0% yield (March 2012: c.5.0%)
Financing fair value movements	(11)	(10)	
Pensions accounting	(1)	9	
One-off items	(3)	-	
Total	32	41	

Retailing
Margins and returns

- Overall returns in line with plans

Underlying EBITDAR margin (half year) **%** (1)

Underlying operating margin (half year) **%** (1)

Return on capital employed % (2)

(1) Not fuel adjusted

(2) 12 month rolling earnings before interest and tax divided by average shareholder funds and net debt

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Growing space

Delivering space growth plans

Store development	Stores	'000 sq ft	
As at March 2012	1,012	20,347	
Openings:			
New/replacement supermarkets	5	178	c.36k sq ft average size
Supermarket extensions	3	56	c.19k sq ft average size
Refurbishments	14	12	
New convenience stores	49	105	
Gross new space		351	1.7%
Closures:			
Replacement stores/closures	(3)	(30)	1 supermarket/2 convenience
Net new space		321	1.6%
As at October 2012	1,063	20,668	

2012/13 FY Guidance

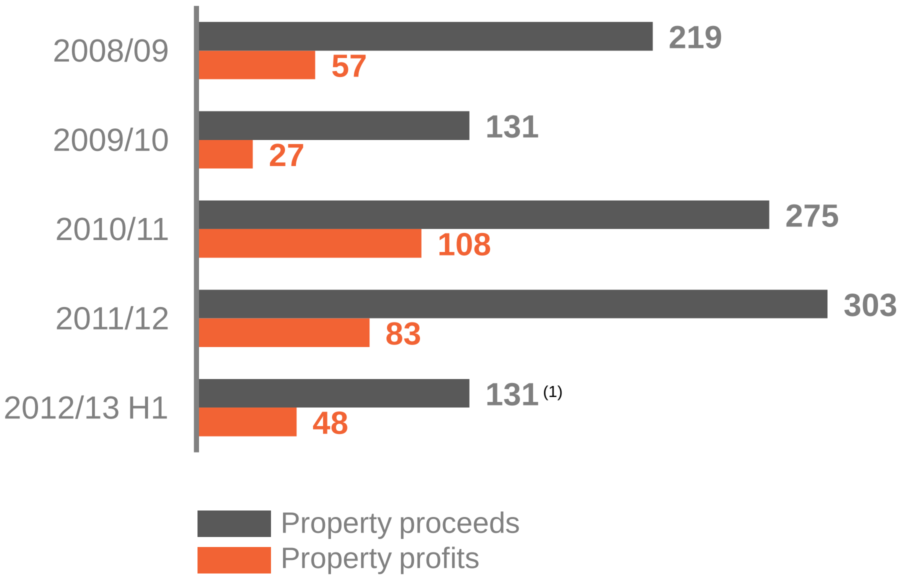
- Expect to deliver around 5% gross space growth
- Expect to open 1-2 convenience stores per week

Growing space and creating property value

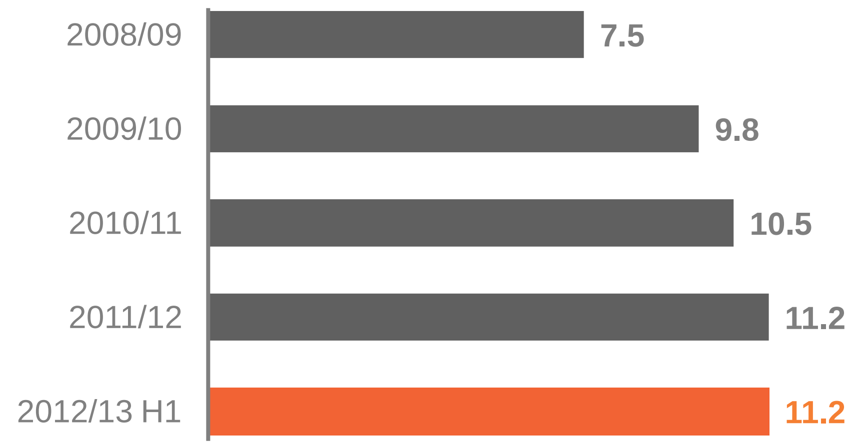
Maximising our property profits

- Significant property portfolio, valued at £11.2bn
  - £141m added due to investment and development of assets
  - £128m of cash proceeds from sale and leasebacks[(1)]
- Strong delivery of property profits through sale and leasebacks

Property proceeds and profits (£m)



Market value of properties (£bn)



(1) £128m from sale and leasebacks and £3m from other disposal proceeds

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Capital expenditure

Core capital expenditure reduced in line with guidance

	H1 2012/13 £m	H1 2011/12 £m
Core capital expenditure	576	682
Acquisition of freehold properties	42	3
Net disposal proceeds[1]	(131)	(129)
Net capital expenditure	487	556

2012/13 FY Guidance

- Full year core capital expenditure of around £1bn
- Step up in refurbishments and IT capital spend, investing in the future

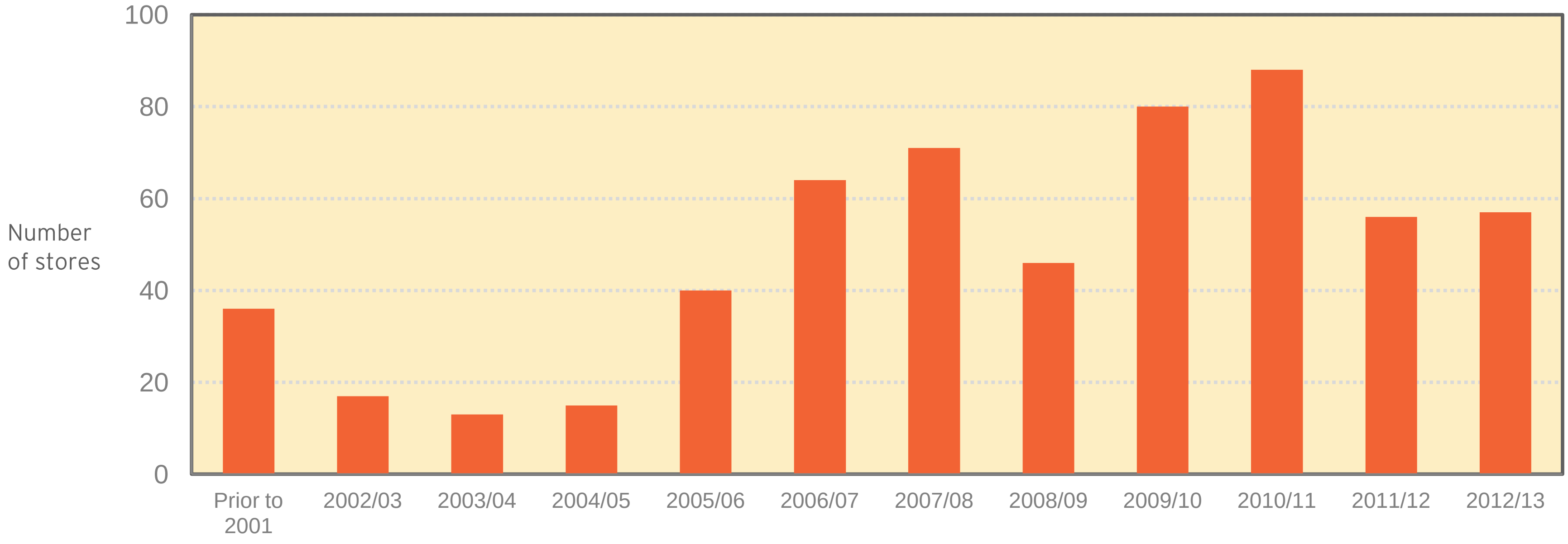
(1) £128m from sale and leasebacks and £3m from other disposal proceeds

Growing space

Investing in our supermarket estate

- Continually investing in our property estate to maximise our customers' in-store experience
- Over 90% of our supermarket estate has received investment in the last 10 years

Year supermarket last received investment



Note: Investment includes new stores, conversions, extensions, refresh and refurbishments excluding convenience stores

Cash flow

Improving cash flow from operations

	H1 2012/13 £m	H1 2011/12 £m	Change %
Operating cash flow	684	657	4.1
Change in working capital	(47)	(104)	54.8
Cash from operations	637	553	15.2
Interest	(79)	(73)	(8.2)
Tax	(28)	(24)	(16.7)
Dividend	(218)	(201)	(8.5)
Net cash used in investing activities	(476)	(498)	4.4
Other funding movements	(35)	(58)	39.7
Movement in net debt	(199)	(301)	33.9
Net debt	(2,179)	(2,115)	(3.0)

Balance sheet
Maintained strong position

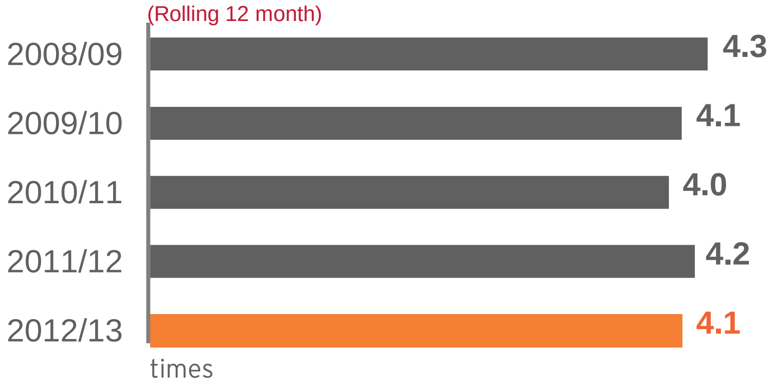
- Market value of property flat at £11.2bn (March 2012: £11.2bn)
- Net debt £2,179m (October 2011: £2,115m)
  - secured, low-cost, long-dated debt
  - facilities of £3.4bn
- Retail operating cash flow up 15.2% to £637m (October 2011: £553m)
- IAS 19 net pension deficit £(697)m (March 2012: £(455)m)
  - 0.6% decrease in the discount rate
  - increase in asset value of £151m

2012/13 FY Guidance

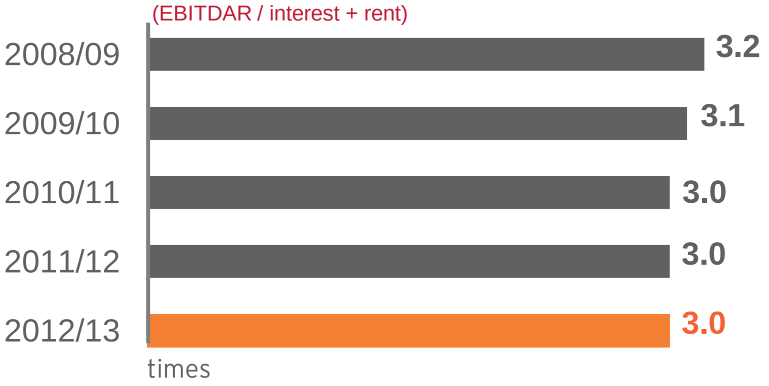
- Year-end net debt position expected to be around £2.2bn

Balance sheet

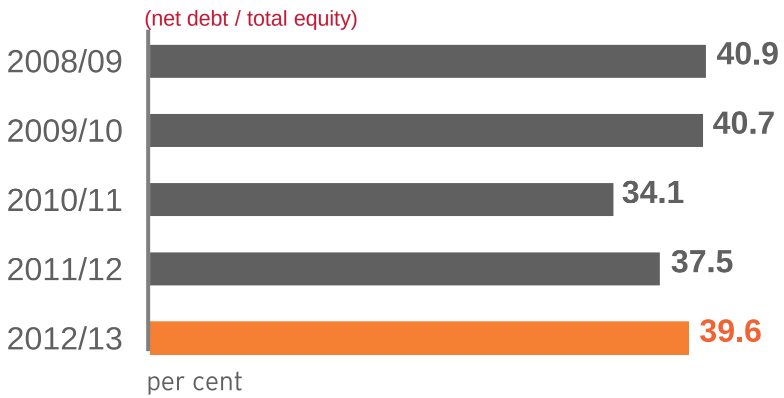
Lease adjusted net debt/underlying EBITDAR



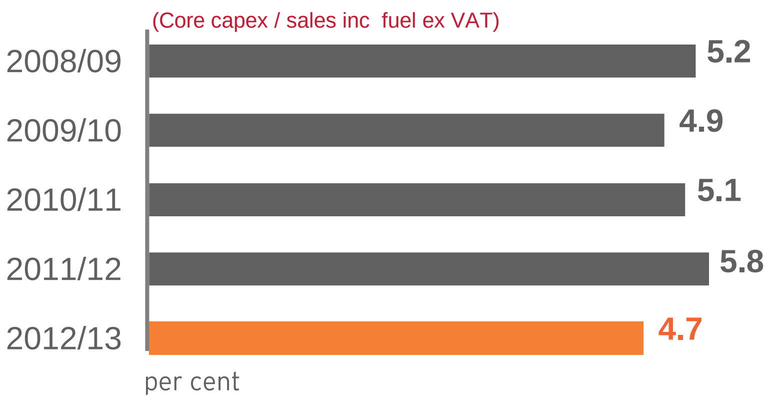
Fixed charge cover (H1)



Balance sheet gearing (H1)



Core capex/sales (H1)



Summary

Trading and operations

- Continued outperformance of the market with 31 quarters of LFL growth
- Underlying operating margin maintained against tough industry backdrop
- On target to deliver space growth of 5%

Key financial measures

- Continued focus on ROCE
- Underlying profit before tax up 5.4% to £373m
- Property profits of £48m

Balance sheet

- Key balance sheet metrics remain stable
- Property value remains at £11.2bn

Justin King
Chief Executive

First half 2012/13
Operating review

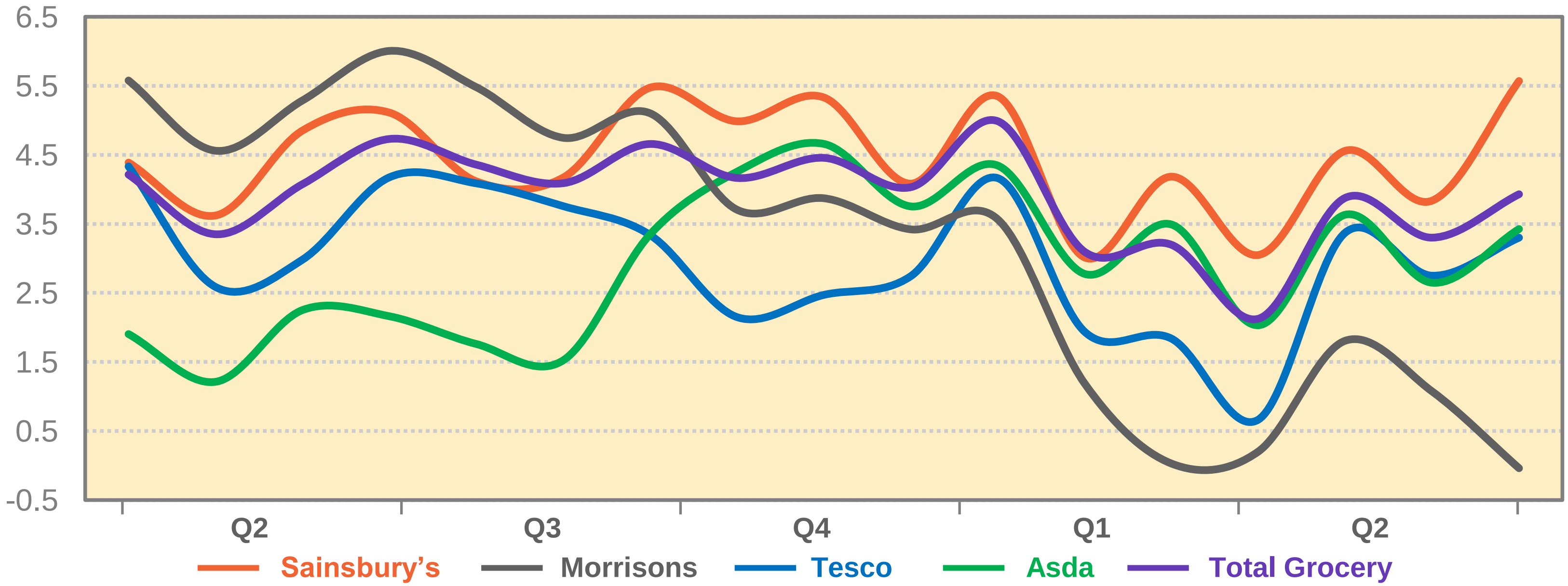
- Delivering continued outperformance in a challenging market
- Helping our customers to *Live Well For Less*
- Cross-channel strategy delivering value for customers and shareholders
- Consistent delivery of our long-term vision for growth

First half 2012/13
Trading performance

- Market beating sales performance in a challenging market
  - total sales up 4.1%, like-for-like sales up 1.7%[(1)]
- 31 quarters of like-for-like sales growth
- Underlying operating profit up 4.0% in line with sales growth

Sainsbury's sales growth is strong in a tough market

Total sales growth [(2)]

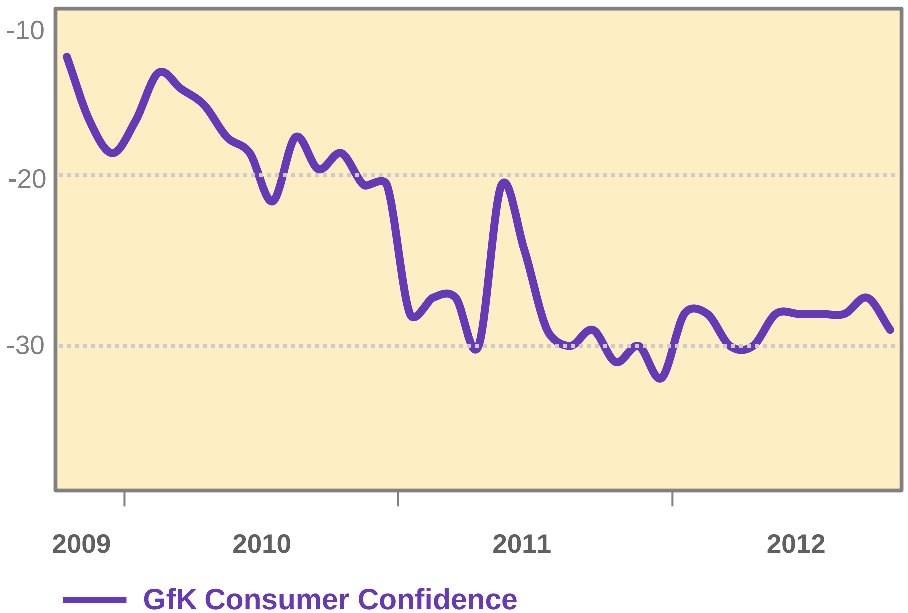


[(1)] Sales including VAT and excluding fuel [(2)] Kantar Total Till roll 12 w/e

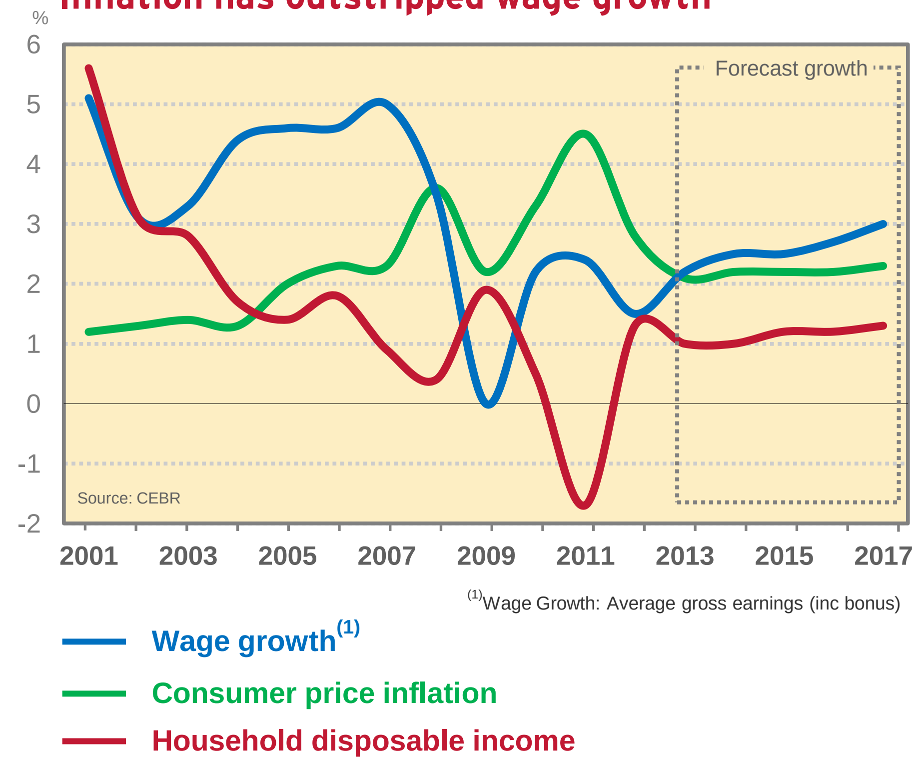
Market backdrop

Consumers remain under pressure

Customer confidence remains depressed



Inflation has outstripped wage growth



(1) Wage Growth: Average gross earnings (inc bonus)

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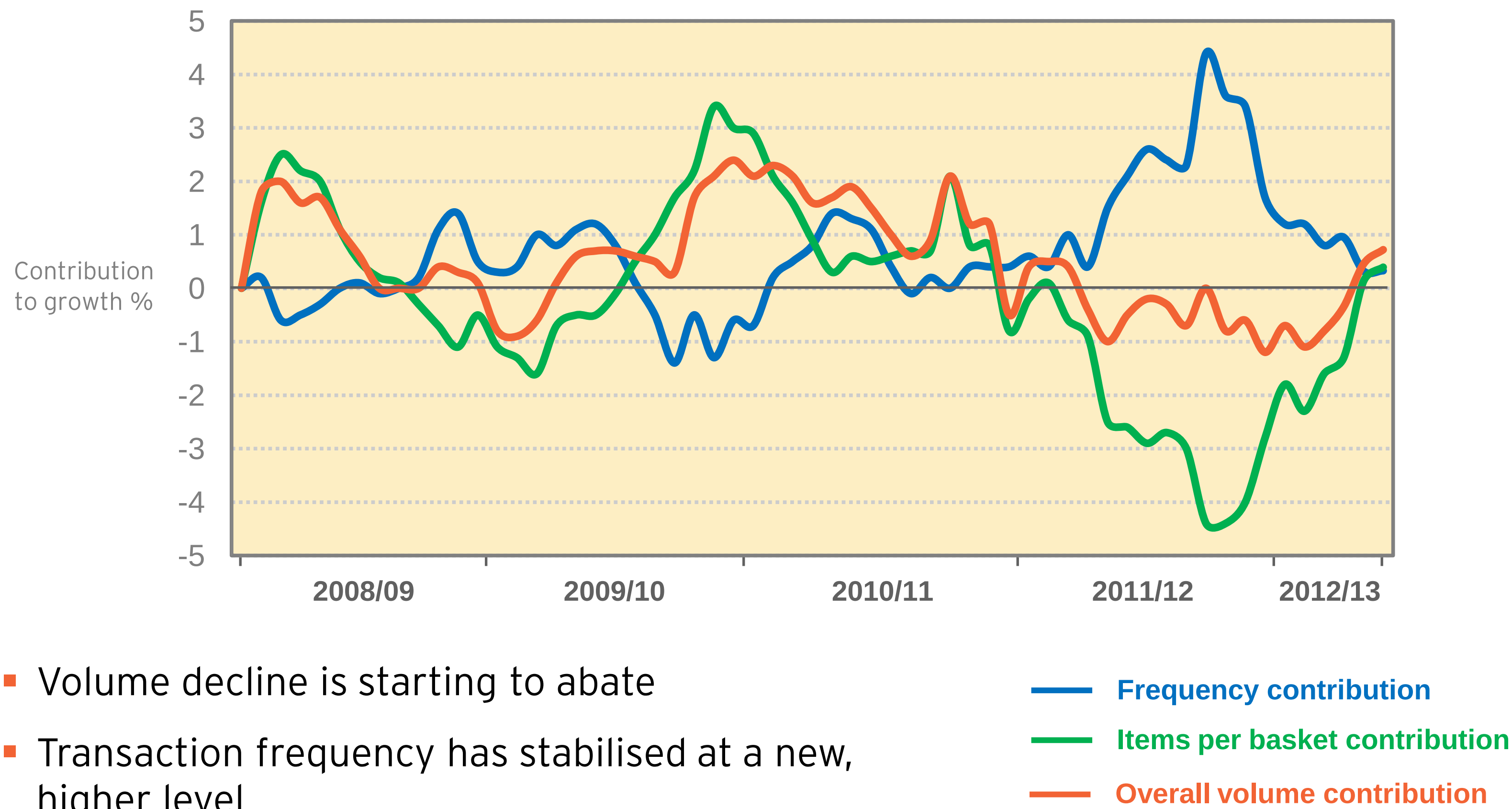
Market backdrop

Changes in shopping behaviours annualising



- Volume decline is starting to abate
- Transaction frequency has stabilised at a new, higher level

Source: Kantar Worldpanel 12we Total Grocery data to 2 September 12

Market backdrop
A summer like no other

- Queen's Diamond Jubilee, Olympics and Paralympics
- Unique investment by Sainsbury's in all these events
- High levels of customer awareness and colleague engagement
- Legacy programmes launched under banner of Active Kids

Sainsbury's official partner of the London 2012 Paralympic Games

Live Well For Less

Reflecting the customer mood

- Differentiated own-brand products – basics, *by Sainsbury's* and *Taste the Difference*
- Brand Match helping close the price perception gap
  - c.250m coupons issued to date
  - 'Cheaper than' coupons issued over 50% of the time
- Targeted offers for customers delivered through Nectar and coupon-at-till
  - celebrated 10-year anniversary of Nectar

Our values make us different

Good progress against our 20 x 20 commitments

- **Health:** Leadership on consistent front-of-pack nutritional labelling
- **Sourcing:** Unique dairy pricing model
- **Environment:** Largest multi-roof solar array in Europe
- **Community:** 2 million meals donated to FareShare by Sainsbury's and our customers
- **Great place to work:** Recruited 150 young people on our trainee manager scheme

First half 2012/13
Brand performance

- Winner of Supermarket of the Year for 5 of the last 7 years
- Winner of Convenience Chain of the Year for the last 3 years

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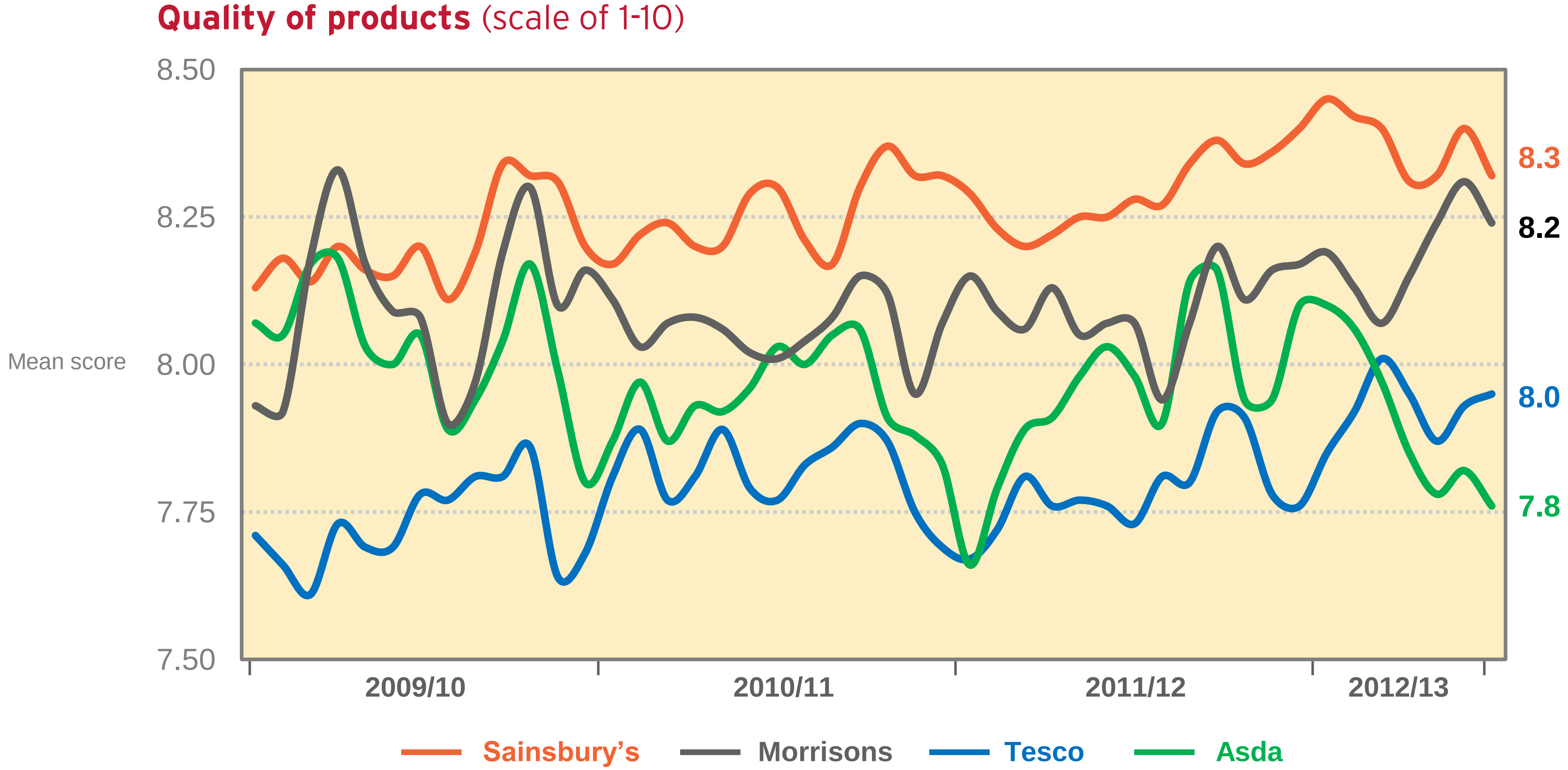
A long-term vision for growth

Great Food

Maintaining our advantage in quality food



Sources: Ipsos-MORI (from Jan 2009 to P1 2012/13) and Brand Face (from P1 2012/13 to date) unweighted rolling 8 week data.

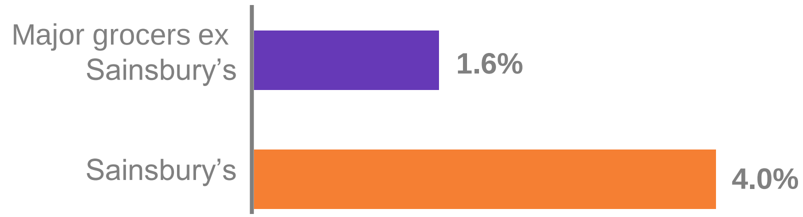
Base sizes per rolling period : Sainsbury's (c.800), Tesco (c.400), Asda (c.250), Morrisons (c.200)

Great Food

Own-brand a point of difference

- Converted over 85% of *by Sainsbury's* range to date
- *by Sainsbury's* voted Own-Label Range of the Year at the 2012 Grocer Gold Awards
- freefrom range growing at over 30% year-on-year
- basics is the number 2 budget brand

Total own-brand sales year-on-year growth



Total own-brand penetration

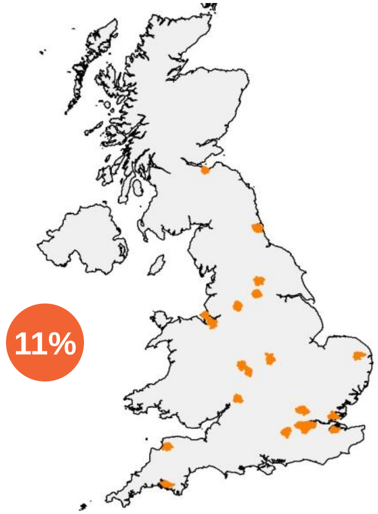
Source: Kantar Worldpanel 28we Total Grocery data to 30 September 12

Compelling General Merchandise and Clothing
Complementary to a great weekly food shop

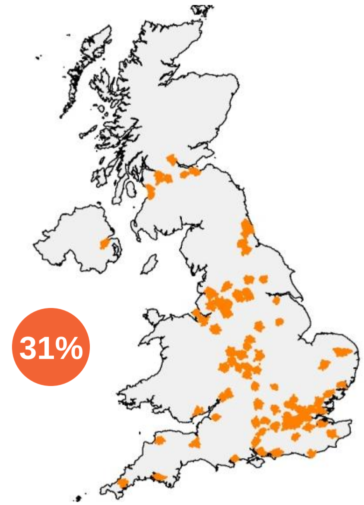
- Non-food currently growing at 3x the rate of food
- Currently 31% of the population are within a 15 minute drive of a full non-food offer
- Further opportunities to grow our non-food business

Customers within a 15 minute drive of a full[(1)] non-food offer

2007/08



2012/13 H1



(1) Full non-food offer defined as 15,000 sq²

Complementary Channels and Services

Our convenience business continues to grow strongly

- Convenience business growing at almost 20% year-on-year
- 49 new stores in the first half of the year
- Dedicated and experienced property development team

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Complementary Channels and Services

Groceries online growing faster than the market

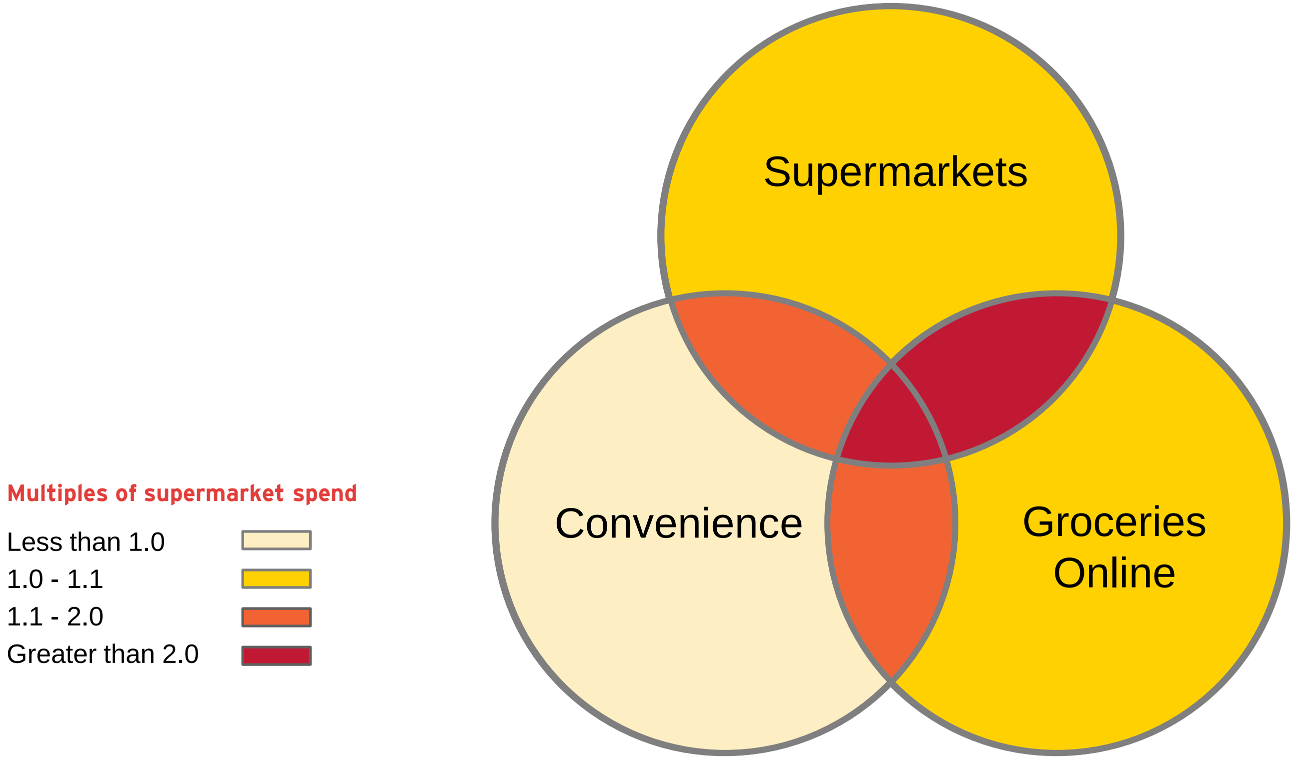
- Groceries online business is growing at over 20% year-on-year
- Rated best against our peers for:
  - product and delivery slot availability
  - quality
  - ease and speed of placing an order
  - customer service
- Launched mobile shopping for groceries
- Non-food Click & Collect service available in 946 of 1,063 stores

Source: IPSOS Online Satisfaction Tracker

Complementary Channels and Services

Multi-channel participation increases total spend

- Nectar data key to understanding the developing customer behaviour
- New channels incrementalise spend
- When customers shop all three channels, total spend increases by over 2x



Complementary Channels and Services

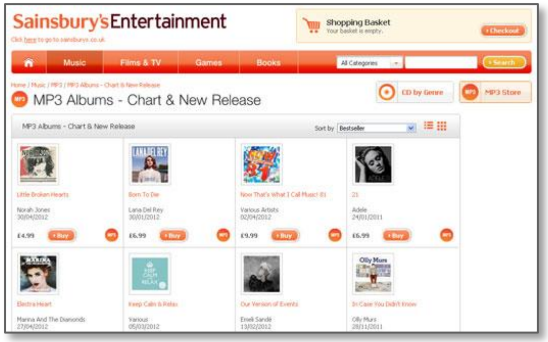
Sainsbury's Bank

- Combining competitive Bank products with Nectar point incentives is a powerful way to attract and retain customers
- Only supermarket to offer both a cashback and a reward credit card
- Travel Money online growing at over 200% year-on-year
- Strengthened management team

Sainsbury's Bank

Developing new business
Investing beyond our core

- Sainsbury's Entertainment – gives customers access to over 2.3 million tracks
- Anobii – a social network and online retailer of e-books
- Rovi – a video on demand service
- Insight 2 Communication – JV with Aimia to deliver targeted offers to our customers for FMCGs
- Sainsbury's pharmacies – opened our first hospital pharmacy in November 2011 with plans to open a further 2 at Guys & St Thomas' in December 2012



A long-term vision for growth

Summary

- Good sales and profit performance
- Challenging economic environment to continue
- Investment in multi-channel is building customer loyalty
- Consistent delivery of our long-term vision for growth

Q&A

Interim results
2012/13